

SECURITY SERVICES CONTRACT

PROCUREMENT OF SECURITY SERVICES AT NATIONAL LABOR RELATIONS COMMISSION REGIONAL ARBITRATION BRANCH IV FOR FY 2024

KNOW ALL MEN BY THESE PRESENTS:

NATIONAL LABOR RELATIONS COMMISSIONS (NLRC) Regional Arbitration Branch IV with principal office address at 3rd and 4th Floors Hectan Penthouse, Chipeco Ave., Brgy Halang Calamba City, Laguna represented herein by its **HONORABLE MELCHISEDEK A. GUAN, Executive Labor Arbiter** and hereinafter referred to as the **"FIRST PARTY"**

-and-

DELTA MAROON SECURITY AGENCY CORPORATION, a duly licensed private security agency, organized and existing under and by virtues of the laws of the Republic of the Philippines, with principal address located at 0188 Jasmin St. Rodriguez Village, Brgy. Lawa, Calamba City Laguna duly organized and existing under the Philippine laws represented by **MS. LIZA S. CASTILLO, CEO/President**, and hereinafter referred to as the **"SECOND PARTY"**

The **FIRST PARTY** and the **SECOND PARTY** are collectively referred to herein as the **"PARTIES"**

WHEREAS, the **FIRST PARTY** desires to engage the security services of the **SECOND PARTY** in providing security guard who will render a minimum of One (1) security guard to secure and guard the National Labor Relations Commission (NLRC) office and property for twelve (12) hours duty from 7:00 am to 7:00 pm during week days, holidays and unforeseen holidays.

WHEREAS, the **SECOND PARTY** offers its Security Services for compensation in order to maintain law order at the **FIRST PARTY** premises, to prevent the commission of crime against property such theft, robbery, arson and other forms of loss or damage to property and to prevent crimes against the **FIRST PARTY**, its Officers and Employees and visitors at the **FIRST PARTY**'s premises and to enforce and implement rule, policies and regulations and other security measures that may be promulgated from time to time by the **FIRST PARTY**.

WHEREAS, the **FIRST PARTY** accepts the service by the **SECOND PARTY** under certain terms and condition acceptable to both parties.

NOW THEREFORE, for and in consideration of the foregoing premises, the parties hereunto have mutually agreed as they do agree, on the following terms and condition:

1. The **SECOND PARTY** shall render, undertake and perform security services as detailed for the benefits of the **FIRST PARTY**'s premises located at NLRC Brgy. Halang Calamba City, Laguna;
2. The service to be provided by **SECOND PARTY** under this Agreement shall consist of the provision of uniformed security guard, duly licensed in accordance with Republic act 11917 as amended, and the rules and regulation of the Philippine National Police (PNP);
3. The **SECOND PARTY** will initially provide One (1) security guard who shall render and secure the NLRC property for twelve (12) hours duty during weekdays, Special Holidays. Legal Holidays and Unforeseen holidays;
4. The **SECOND PARTY** shall make available guard relievers and or replacement when need arise, such as in the case of absence of the assigned security guards. However, if the **SECOND PARTY** has shortage of relievers, they shall have the option to extend the working hours of any guard on duty at the premises of the **FIRST PARTY** cover the post of the absence;
5. The **SECOND PARTY** shall resume obligations provided in the Terms of Reference (TOR) such as;
 - a. The **AGENCY** shall provide the **NLRC** with security services and for this purpose shall assign guards who will secure and protect the **NLRC**'s property from theft, arson, pilferage, trespass, robbery, destruction or damage and other unlawful acts by strangers or third

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Melchisedek A. Guan

persons, maintain peace and order in and around the NLRC's premises, protect its officials, employees, visitors and guests from assault, harassment, threat or intimidation, and other criminal acts, and enforce/implement rules, policies and regulations of the NLRC aimed at maintaining security and safety at its premises;

- b. The AGENCY shall implement health protocols and standards on workplace prevention and control of COVID-19 virus as stipulated in the Workplace Handbook/Guidelines on Covid-19 Management and Prevention prepared by the Department of Health (DOH) and Department of Labor and Employment (DOLE) and NLRC issuances related thereto;
- c. The AGENCY shall implement standard operating procedure during, before and after calamities and other emergencies like earthquake, fire, flood and others as stipulated in NLRC Service Continuity Plan and basic occupational safety and health standards;
- d. Documents or logbooks maintained by the AGENCY containing matters involving security concerns, such as but not limited to entries regarding the date and time of arrival and departure of NLRC Officials in the NLRC premises shall not be disclosed to any person, government official or entity, unless previously authorized by the Chairman of NLRC or his/her duly authorized representative. Any violation of this rule shall automatically result in the cancellation of the service contract;
- e. The AGENCY will assign at the NLRC One (1) qualified, competent, uniformed, armed and bonded with valid License to Exercise Security Profession security guard in accordance with R.A. 11917 as well as other related laws and regulations with the following qualifications, among others to wit:
 - a. Filipino citizen
 - b. For security guard
 - At least high school graduate and
 - At least one (1) year of security job experience.
 - c. Physically and mentally fit, of legal age but not more than 60 years old, slim or medium built;
 - d. Must have passed and undergone regular security service training, a neuro- psychiatric examination and drug test;
 - e. Must be of good moral character, duly licensed and trained by PNP properly screened and cleared by the N.B.I., Philippine National Police and government offices issuing clearances for employment and without previous record of any conviction of a criminal offense involving moral turpitude;
 - f. Security guards have attended training on First Aid Basic Course and Disaster Preparedness. Certificate to this effect shall be submitted to NLRC prior the issuance of Notice to Proceed;
6. The AGENCY shall provide the guard assigned to the NLRC the necessary valid licensed firearms and ammunitions to the guards assigned to the NLRC as well as communication equipment and other security equipment which may include service vehicle in times of emergency and calamities and shall see to it that when on duty

A. Prescribed basic uniform, which include;

- a. Night stick/baton/truncheon
- b. Whistle
- c. Flashlight
- d. Medicine kit
- e. Tear gas
- f. Tickler

B. Metal detector at the main entrance

C. CCTV and security camera at the identified strategic area

D. At least two sets of complete uniforms, with all the necessary patches to all security guards

7. The AGENCY shall establish a security force consisting of one (1) personnel who shall render twelve (12) hours work per day including Saturdays and Sundays and holiday.

Antonio B.

Abelardo A. Juan

The number of security guard may be increased or decreased depending upon the exigencies of the service or the need of the security situation at the post as may be determined by the NLRC based on the rates per shift as shown in the Approved Budget for the Contract;

8. It is expressly understood and agreed that the AGENCY is not an agent or employee of the NLRC and the guards to be assigned by the AGENCY to the NLRC are in no case employees of the latter as they are for all intents and purposes under contract with the AGENCY. Accordingly, the NLRC shall not be responsible for any and all claims for personal injury or damage, including death, caused either to any of the guards or any third person where such injury or death arises out of, or in the course of, the lawful performance of security functions of said guards;
9. The AGENCY shall comply with all existing labor laws i.e., minimum wage, 13th month pay, Service Incentive Leave with pay, SSS, PhilHealth, EC, Pag-IBIG premium contributions, retirement pay, retirement trust fund and other mandatory benefits as provided by law.

In addition to the required sworn certification under the third (3rd) paragraph of item II.B.1, the AGENCY shall submit a monthly payroll including copies of DTRs and summary of attendance as proof of compliance that their employees assigned to the NLRC have received or have been receiving their wages and other emoluments as mandated by existing labor standard laws and social legislations. Failure on the part of the AGENCY to submit the required sworn certification and monthly payroll, shall authorize the NLRC to make direct payment of wages and other emoluments to the concerned employees for services actually rendered;

10. The AGENCY shall likewise submit a sworn certification/proof that it has complied with Department Order No. 150, Series of 2016 Establishing a Retirement Trust Fund in the name for and in behalf of the Security Guards callable upon demand by the concerned security guard. Failure on the part of the AGENCY to submit the required sworn certification shall authorize the NLRC to pre-terminate the contract;
11. The AGENCY shall guarantee payment to the NLRC, of any loss of or damage to its property, provided the same occurred within the jurisdiction of the AGENCY or its guards, and it has been duly established after due investigation that said loss or damage was due to the negligence or fault of the AGENCY or its guards. Provided, further that such loss, pilferage, breakage or damage on the properties involved is reported in writing to the AGENCY within seven (7) working days from occurrence or discovery thereof. When such loss or damage is caused by force majeure or fortuitous event, the AGENCY shall not in any way be held responsible. In the event the AGENCY is made to pay for such loss or damage, it shall be subrogated to the rights of the NLRC against the party or parties responsible for such loss or damage;

12. The AGENCY shall post a performance security in an amount equivalent to 10% of cash, cashier's/manager's check, bank draft/irrevocable letter of credit issued by a universal or commercial bank, or 50% if surety bond of the total contract price to guarantee the payment of wages, salaries or compensation of its security guards and also for the faithful compliance with the terms and conditions and provision of the Contract. It is also understood and agreed that Performance Bond set up by the AGENCY shall subsist until the expiration of the Contract and shall be answerable for whatever losses and/or damages that the NLRC or any of its officials and employees may incur or suffer;

13. The AGENCY should be financially capable; it must have sufficient current/liquid assets to shoulder its current liabilities particularly the payment of salaries and benefits for at least two (2) months of their deployed guards to NLRC. The administrative cost and profit margin of the AGENCY should not be less than the amount provided by DOLE Department Order or other issuances and must be able to provide the salaries and benefits of the security guards as these falls due;

14. The SERVICE AGENCY shall submit brief profile of the security guards to be deployed to the NLRC upon receipt of notice to proceed;

15. The responsibilities of NLRC shall be as follows:

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Melvin A. Pua

- A. The NLRC shall pay the security services on a semi-monthly basis for One (1) guard based on the submitted financial bid compliant to the approved Budget for the Contract of Security Services for one (1) year as shown in Annex "A".

The total monthly due shall be payable semi-monthly in full not later than the 15th and 30th day or last calendar day of the reference month for one (1) security guard less any amount that shall correspond to short manpower services or short working periods. The NLRC shall pay the AGENCY not later than the 15th and 30th or last calendar day of the following month based on the billing statement which should be submitted to the NLRC not later than the 7th and 21st day of each month for the duration of the contract.

It is understood that upon presentation of the corresponding bill thereof, a sworn certification shall be submitted to NLRC citing that the wages of the security guards including other emoluments and/or allowances due them for the preceding month have all been paid. Copies of remittances to SSS, HDMF and Philhealth shall also be provided to the NLRC.

The bonus of 13th month pay shall be paid semi-monthly by the AGENCY to its guards simultaneous with the payment of wage

- B. Should there be any law and/or wage order passed increasing the minimum wage or requiring additional compensation in any form, the agreed consideration shall be automatically adjusted pursuant to said law or wage order.

16. In case of any violation on the stipulations and covenants of the Contract by the AGENCY, the NLRC shall automatically rescind and/or terminate the same upon notice to the AGENCY subject to the Guidelines for Termination of Contract provided under Annex "T" of the 2016 Revised IRR of RA 9184. The NLRC shall be entitled to the refund of its payment including liquidated damages as herein stipulated, in addition to what may be granted and/or awarded to it in the courts of law, and the right to unilaterally award or renegotiate the said services to another AGENCY;

17. The performance of the AGENCY shall be rated based on a prescribed set of performance criteria on a monthly basis. The NLRC may also conduct an overall annual assessment or evaluation of the performance of the AGENCY. Based on the assessment, the NLRC may preterminate the contract for failure of the AGENCY to perform its obligations and conform to the standards of the NLRC. The NLRC may however renew the contract on a monthly basis up to a maximum duration of six (6) months, subject to performance evaluation and compliance with the Revised Implementing Rules and Regulations (RIRR) of Republic Act No. 9184;

18. In case of tie among bidders, i.e., two or more of the bidders are determined and declared as the Lowest Calculated and Responsive Bidder, the NLRC shall adopt the non-discretionary/non-discriminatory tie breaking method which is the draw lots method.

19. The bid price to be submitted shall be rounded off to two decimal places. (Verification/evaluation of bids will be thru manual computation)

The FIRST PARTY agrees to pay for and consideration of the SECOND PARTY undertaking this contract the sum of **Four Hundred Ninety-Five Thousand Nine Hundred Ninety-Nine Pesos and Ninety-Six centavos (Php 495,999.96) only.**

The parties agrees that all the covenants and Agreement herein obtained shall be deemed condition as well as covenants and that any breach of provision herein shall entitle the innocent party the damage, actual and compensatory, exemplary, normal and temperature, any suit arising from this contract shall entitle the innocent party the amount of not less than twenty-five percent (25%) of the award or damage as attorney's fee plus cost of suit. Any question which may arise between the parties by reason of this documents and which has to be in Calamba City, Laguna waiving for this purpose any and proper value.

This Agreement shall bind upon the administrator, executor, successor's and assign of any rights granted to it under this agreement shall not be constructed as a waiver or abandonment of such rights.

This Agreement shall take effect on **March 16, 2024 up to March 15, 2025** under the same terms and condition, unless sooner canceled or terminated by either party by giving thirty (30) days written notice prior to such termination.

IN WITNESS WHEREOF, the parties have hereunto signed this Agreement this 12th day of March, 2024 at Calamba City Laguna, Philippine

IN WITNESS WHEREOF, the parties have hereto set their hands at the place and on the date first above stated.

NATIONAL LABOR RELATIONS
COMMISSIONS

DELTA MAROON SECURITY
AGENCY CORPORATION.

By: 
HON. MELCHISEDEK A. GUAN
Executive Labor Arbiter

By: 
LIZA S. CASTILLO
CEO/President

SIGNED IN THE PRESENCE OF:

Republic of the Philippines}
City of CALAMBA CITY } S.S.

ACKNOWLEDGEMENT

BEFORE ME, a Notary Public for and in the City of Calamba and the Province of Laguna, personally appeared, with Taxpayer Identification Number (TIN): _____ **Hon. Melchisedek A. Guan** and **Ms. Liza S. Castillo**, with Taxpayer Identification Number (TIN): 246-295-422-000, both known to me and to me known to be the same persons who executed the foregoing instrument and acknowledged to me that the same are their own free and voluntary acts and deeds.

This instrument refers to a Security Services Agreement, consisting of four (4) pages including this page wherein the acknowledgement is written, were signed by the parties and their two instrumental witnesses on each and every page hereof.

SUBSCRIBED AND SWORN to before me this MAR 12 day of 2024, 2024 at CALAMBA CITY Philippines. Affiant/s is/are personally known to me and was/were identified by me through competent evidence of identity as defined in the 2004 Rules on Notarial Practice (A.M No. 02-8-13-SC).

WITNESS MY HAND AND SEAL this _____ day of MAR 12 2024.


NOTARY PUBLIC **ATTY. ROLANDO H. CHIONG, JR.**
Serial No. of Commission _____ Notary Public
Notary Public for _____ until December 31, 2024
Roll of Attorneys No. 31958, 01-02-2024 Calamba City
PTR No. _____ Roll No. 31958, IBP-OR No. 180754, 12-09-2022
PTR No. _____ Chiong Law Office, Calamba City, Philippines
IBP No. _____ TIN-116-095-254 Not. Com. No. 11-2023-G
MCL Compliance VII - No. 0017467, 04-14-2025

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